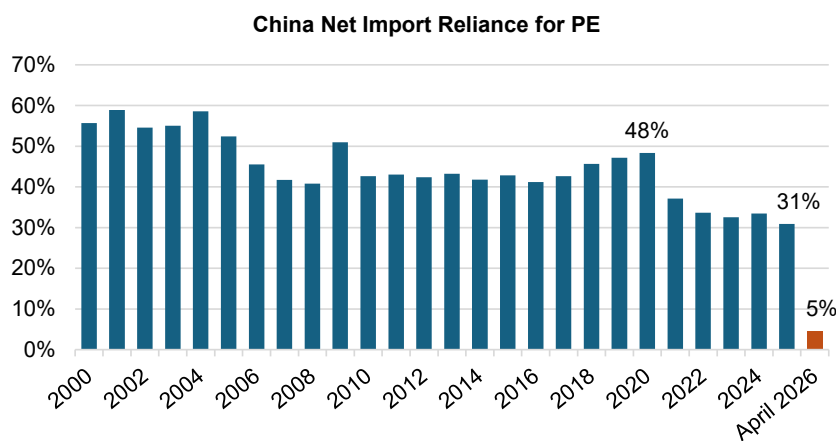


June 11, 2026 04:01 AM GMT

Chemicals | North America

China PE Net Imports Likely Critical for US Contract Prices

We view the shape of China's net imports of polyethylene as a critical KPI to the trajectory of US PE contract prices. The starting point for this view is the reduction of China's net imports during April (as the Strait of Hormuz remained closed), which added 9% to ex-China global supply, partially offsetting the 15% reduction to global supply caused by the closure of the SOH. In particular, China reduced its net import position from ~1.1m MT per month pre-conflict to ~180K MT in April. It did this by: i) reducing imports by ~500K mt (approximately ~40% less from the US in particular); and ii) increasing exports by ~400K MT (most of which we believe went to Southeast Asia to offset the lost exports from the Middle East). The overall ~900kMT reduction of China's net import position drove China's net import reliance to ~5% in April vs. ~31% in 2025 (see [Exhibit 1](#)).

Exhibit 1: China Net Import Reliance for PE

Source: Chemical Market Analytics, Morgan Stanley Research

Naturally, this unanticipated behavior by China made the export market less tight than feared in April (with a carry-over impact into May likely, in our view) but there remains debate about how long such behavior can persist. In particular, we believe that China likely held far more excess inventory (pre-conflict) than understood. Discussions with consultants lead us to believe that ~1mm MT of excess inventory was built by Chinese traders in the 6-12 months prior to the Iran conflict, increasing the country's excess inventory position to ~2.3-3.5mm MT, which is equivalent to ~30 days of domestic demand. We expect to learn China's net imports for May in late June/early July.

(CONTINUED INSIDE)

MORGAN STANLEY & CO. LLC

Vincent Andrews

Equity Analyst

Vincent.Andrews@morganstanley.com

+1 212 761-3293

Turner W Hinrichs

Research Associate

Turner.Hinrichs@morganstanley.com

+1 212 761-1269

2026 EXTEL

ALL-AMERICA
RESEARCH POLL

May 26 – June 12, 2026

VIEW OUR
ANALYSTS >

CHEMICALS

North America

Industry View

In-Line

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

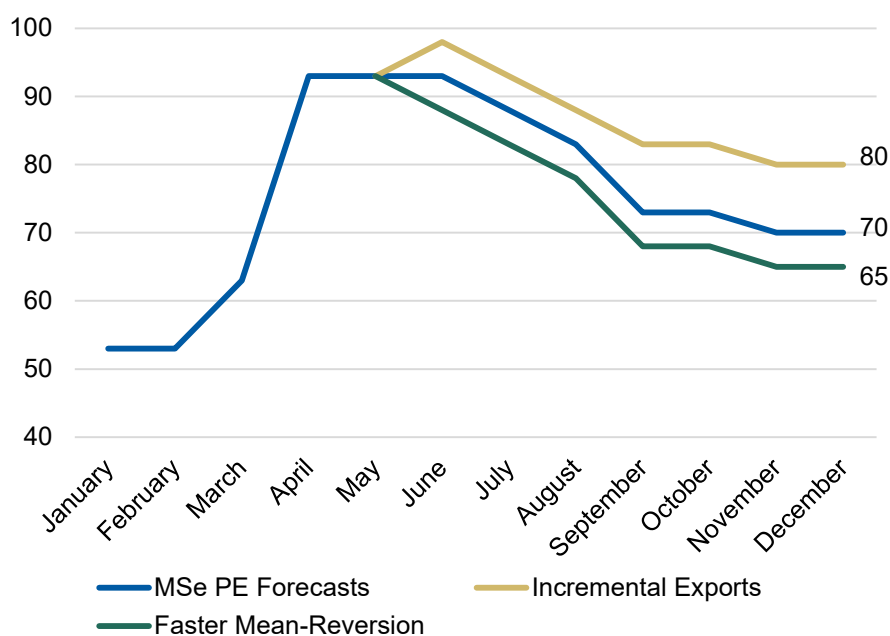
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

China PE Net Imports Likely Critical KPI for US Contract Prices

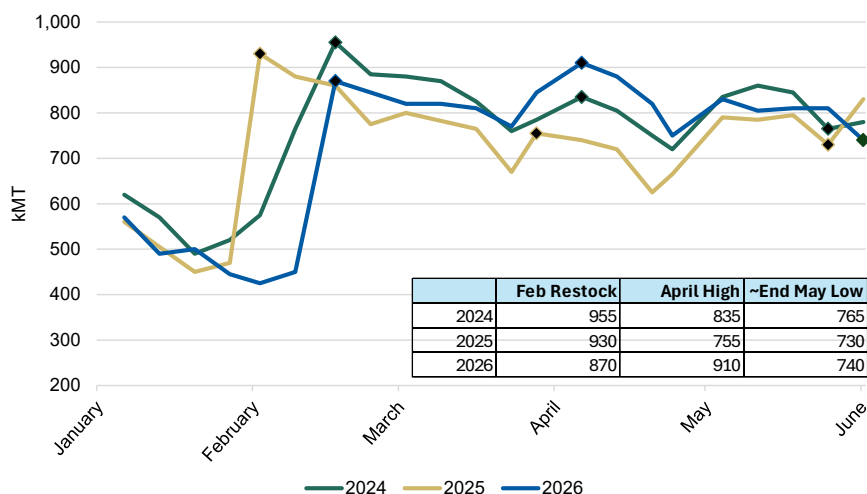
Small Favor – Vote for us in the Extel (fka Institutional Investor) poll! If you find this report helpful, please consider voting for Vincent Andrews as a five-star Chemicals analyst in this year's Extel poll. Please also vote for team members Steven Haynes, Turner Hinrichs and Justin Pellegrino in Chemicals. **If you need a ballot, please let us know. We really appreciate your support.**

Our scenario analysis suggests that the excess inventory may thin out by June/July. Should China then revert to its pre-conflict net import purchasing, we believe that this could lead to incremental demand for US exports of ~250K mt per month (12% of US annual supply). Such an outcome would likely help move US contract prices higher, all else equal, while the lack thereof would likely accelerate US contract price reversion to a lower mean. Notably, Chinese polyolefin inventory data from both Sinopec and CNPC demonstrates our expected draw down trend, with inventory now ~19% below recent highs and back to levels comparable with 2024/2025. Note that the inventory buildup through April is also atypical seasonally (with April 2024/2025 highs remaining -13%/-19% below February 2024/2025 levels), though 2026 YTD polyolefin inventories have fallen to comparable levels to 2024/2025 (-1% below the average) following the 19% (170kMT) draw down since April's peak.

Exhibit 2: MSe 2026 US PE contract expectations, alongside (i) a scenario where incremental US exports drive higher prices and (ii) another where the reversion to a lower mean is accelerated



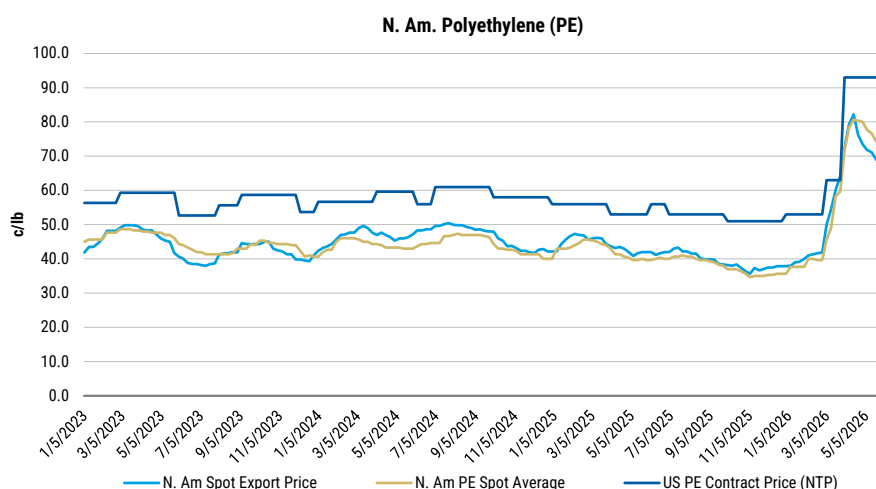
Source: Morgan Stanley Research

Exhibit 3: Sinopec and Petrochina Polyolefin Inventories (PE & PP)

Note: the data represents inventories within China, inclusive of joint ventures.

Source: ICIS, Company data, Morgan Stanley Research

As it stands right now, the US market is largely playing out as we expected (see: [Chemicals: Polyethylene S&D Update \(21 Apr 2026\)](#)) with spot prices in a downward trend following substantial March and April contract increases (+10cpp/+30cpp) and a flat May settlement. Looking ahead to June's contract negotiations, Dow and LyondellBasell have nominated 20cpp and 10cpp increases, respectively. At present, we model another flat settlement. Importantly, market commentary indicates that exports have lagged expectations, driving an expected producer inventory increase to ~46 days in May from 42.5 days in April and 44.0 days in February.

Exhibit 4: North American Polyethylene Prices

Source: Chemical Market Analytics, Platts, Morgan Stanley Research

Our estimate for 250K mt of potential incremental US exports is derived by dividing Chinese imports ratably by import share (excluding historical Middle Eastern volumes, which are assumed to still be constrained). This uplift would represent ~21% upside to US export volumes, likely maximizing US export volumes (consultants have estimated a ~17% import increase over 2025 levels is the maximum increase given current infrastructure limitations). Considering effective operating rates are already near-maximum levels

(~98.8% effective operating rates estimated for May), we would expect US inventories to draw down up to ~8 days through August, potentially driving the monthly contract settlement higher.

Exhibit 5: US PE Export Destinations and Chinese PE Import Origins

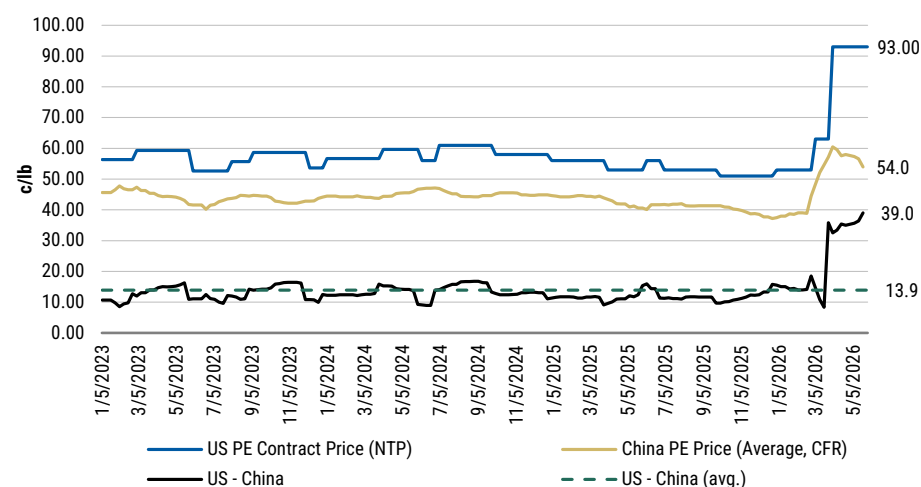
United States exports						China (mainland) imports					
Export Region	Export Country/Territory	Import Region	Import Country/Territory	MMT	% Total	Export Region	Export Country/Territory	Import Region	Import Country/Territory	MMT	% Total
North America	United States	North East Asia	China (Mainland)	2,566.1	20.0%	North America	United States	North East Asia	China (Mainland)	2,566.1	16.7%
North America	United States	North America	Mexico	1,695.7	13.2%	Middle East	Saudi Arabia	North East Asia	China (Mainland)	2,287.9	14.9%
North America	United States	South America	Brazil	1,099.9	8.6%	Middle East	Iran	North East Asia	China (Mainland)	2,277.6	14.8%
North America	United States	West Europe	West Europe	997.7	7.8%	North East Asia	South Korea	North East Asia	China (Mainland)	2,160.1	14.0%
North America	United States	North America	Canada	738.5	5.8%	Southeast Asia	Singapore	North East Asia	China (Mainland)	895.6	5.8%
North America	United States	South East Asia	Malaysia	625.6	4.9%	Southeast Asia	Thailand	North East Asia	China (Mainland)	872.7	5.7%
North America	United States	South East Asia	Singapore	444.6	3.5%	Middle East	U.A.E.	North East Asia	China (Mainland)	734.1	4.8%
North America	United States	South America	Colombia	385.3	3.0%	CIS & Baltic States	Russia	North East Asia	China (Mainland)	660.8	4.3%
North America	United States	Indian Subcontinent	India	377.6	2.9%	Middle East	Qatar	North East Asia	China (Mainland)	566.5	3.7%
North America	United States	Africa	Nigeria	360.9	2.8%	West Europe	West Europe	North East Asia	China (Mainland)	454.2	2.9%
North America	United States	Africa	Other Africa	333.4	2.6%	North East Asia	Taiwan, China	North East Asia	China (Mainland)	392.3	2.5%
North America	United States	Middle East	Turkey	332.0	2.6%	Southeast Asia	Malaysia	North East Asia	China (Mainland)	337.3	2.2%
North America	United States	North East Asia	Taiwan, China	152.0	1.2%	CIS & Baltic States	Other CIS & Baltic States	North East Asia	China (Mainland)	125.6	0.8%
North America	United States	South America	Peru	209.7	1.6%	Middle East	Kuwait	North East Asia	China (Mainland)	180.7	1.2%
North America	United States	South East Asia	Vietnam	197.1	1.5%	Middle East	Oman	North East Asia	China (Mainland)	155.1	1.0%
North America	United States	South America	Guatemala	170.8	1.3%	North East Asia	Japan	North East Asia	China (Mainland)	128.8	0.8%
North America	United States	North East Asia	Taiwan, China	152.0	1.2%	CIS & Baltic States	Other CIS & Baltic States	North East Asia	China (Mainland)	125.6	0.8%
North America	United States	South America	Argentina	135.9	1.1%	Southeast Asia	Indonesia	North East Asia	China (Mainland)	97.7	0.6%
North America	United States	Africa	Morocco	131.2	1.0%	South America	Brazil	North East Asia	China (Mainland)	92.2	0.6%
North America	United States	North East Asia	South Korea	115.8	0.9%	Southeast Asia	Vietnam	North East Asia	China (Mainland)	50.7	0.3%
North America	United States	South America	Chile	111.8	0.9%	North America	Mexico	North East Asia	China (Mainland)	44.7	0.3%
North America	United States	South East Asia	Thailand	107.6	0.8%	South America	Argentina	North East Asia	China (Mainland)	37.7	0.2%
North America	United States	South East Asia	Indonesia	101.3	0.8%	Southeast Asia	Philippines	North East Asia	China (Mainland)	35.7	0.2%
North America	United States	South East Asia	Australia	92.8	0.7%	Africa	South Africa	North East Asia	China (Mainland)	6.4	0.0%
North America	United States	Middle East	U.A.E.	89.3	0.7%	Africa	Egypt	North East Asia	China (Mainland)	6.3	0.0%

Source: Chemical Market Analytics, Morgan Stanley Research

On the other hand, US export demand fell short of expectations in both April and May, which - if continued – could pull forward expected PE contract declines (e.g., a -5cpp settlement in June or incremental downside to the -5cpp we already expect for July).

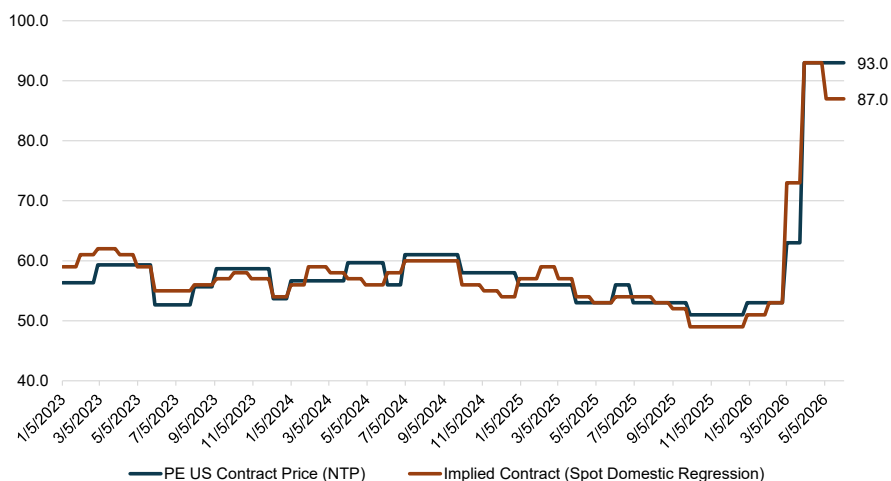
Chinese polyethylene price increases have significantly lagged other regions since the onset of the Iran conflict. Current Chinese prices are 39pp below North American prices (versus ~14cpp pre-conflict and 13.9cpp on average over the past three years) which has naturally hurt demand for higher priced US exports. We note that US spot price trends implied ~6cpp of downside in May to the US contract price but the contract settled flat contract nonetheless.

Exhibit 6: US PE Prices, Chinese PE prices and the difference



Source: Chemical Market Analytics, Platts, Morgan Stanley Research

Exhibit 7: US PE contract prices vs. spot domestic-implied contract prices (based on a regression with domestic spot price averages with 0.92 r-squared)



Source: Chemical Market Analytics, Morgan Stanley Research

We believe that at the onset of the Iran conflict, Chinese producers and traders had ~2.3-3.5mn MT of excess inventories. On the low end, 2.3mn MT represents ~15 excess days of total Chinese producer inventories and ~1000kMT excess inventories in the hands of traders (which consultants note had built up inventories in the 6-12 months ahead of the conflict due to low market prices). On the high end, 3.5mn MT represents 30 excess days of total Chinese producer inventories and the same ~1000kMT excess trader inventories. The low end assumes that producer inventories start drawing down in May (with the April net-import reduction largely having been absorbed by trader inventories), and that the low net import position is only sustainable through early June.

- **Should the leaner inventory scenario play out and China increase its imports** (see [Exhibit 8](#)), we would expect the North American market to tighten during the second half of June as global trade flows adjust to facilitate China's ramp back towards a ~1.1mn MT/month net import position.
- **Should the fuller inventory scenario play out and China's imports remain restrained** ([Exhibit 9](#)), we believe the North American market would not tighten until late July/early August as global trade flows adjust.
- **In either scenario**, we would expect China's ~5% net imports in April to revert to the ~mid-20% for the full year and back >30% in 2027 ([Exhibit 10](#)).

Exhibit 8: ~2.3kMT excess Chinese Inventory draw down scenario

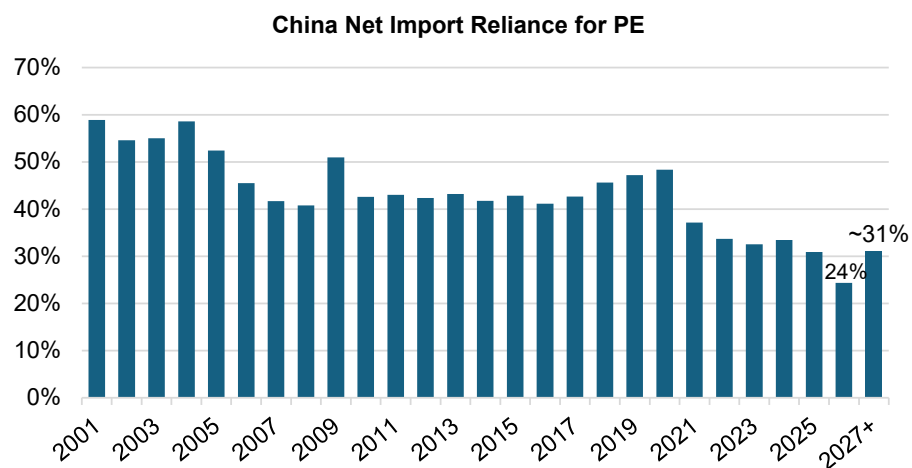
	March	April	May	June	July
Days Excess Producer Inventories - BOP	15	15	14	3	0
Change	0	-1	-11	-3	0
Days Excess Producer Inventories - EOP	15	14	3	0	0
Trader Excess Stocks - BOP	1,000	810	10	10	10
Change	-190	-800			
Trader Excess Stocks - EOP	810	10	10	10	10
Inventory Change	-190	-900	-900	-267	0
China Inventory Buffer - BOP	2,257	2,067	1,167	267	0
Net Import Reduction	-190	-900	-900	-267	0
China Inventory Buffer - EOP	2,067	1,167	267	0	0

Source: Morgan Stanley Research

Exhibit 9: ~3.5kMT excess Chinese inventory draw down scenario

	March	April	May	June	July
Days Excess Producer Inventories - BOP	30	30	29	18	7
Change	0	-1	-11	-11	-7
Days Excess Producer Inventories - EOP	30	29	18	7	0
Trader Excess Stocks - BOP	1,000	810	10	10	10
Change	-190	-800			
Trader Excess Stocks - EOP	810	10	10	10	10
Inventory Change	-190	-900	-900	-900	-623
China Inventory Buffer - BOP	3,513	3,323	2,423	1,523	623
Net Import Reduction	-190	-900	-900	-900	-623
China Inventory Buffer - EOP	3,323	2,423	1,523	623	0

Source: Morgan Stanley Research

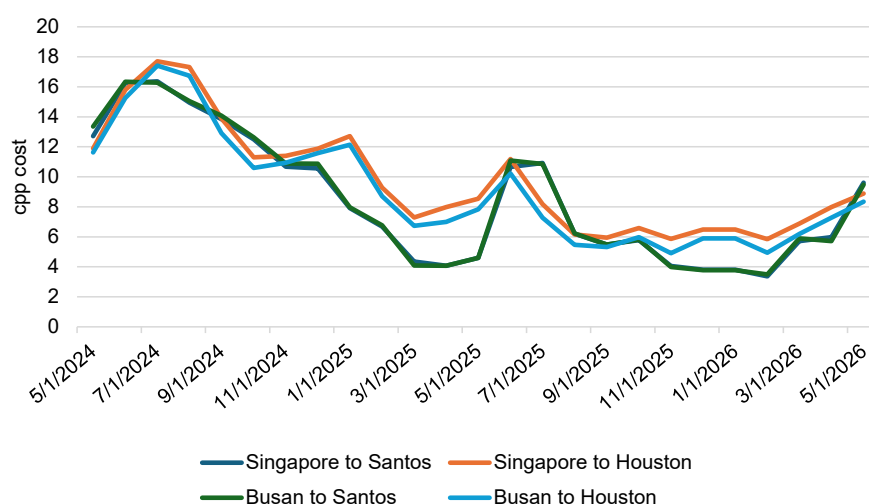
Exhibit 10: China Net Import Reliance Illustrative Iran-conflict Impact to 2026 and normalization post-2026

Source: Chemical Market Analytics, Morgan Stanley Research

We do not believe that freight rates will be the primary driver of Chinese import normalization as the recent ramp up of East-to-West freight rates remains fairly moderate in context (i.e., up 4.7c/pp on average in May versus February – see [Exhibit 11](#)). Logistical issues - including container scarcity and port congestion - may have

hampered Chinese PE exports somewhat, driving demand upside to the North American market in the process. That said, despite the 4.7cpp increase in freight rates, rates are still well below recent peaks (i.e., ~7.9cpp below summer of 2024).

Exhibit 11: East-to-West freight costs per lb of PE

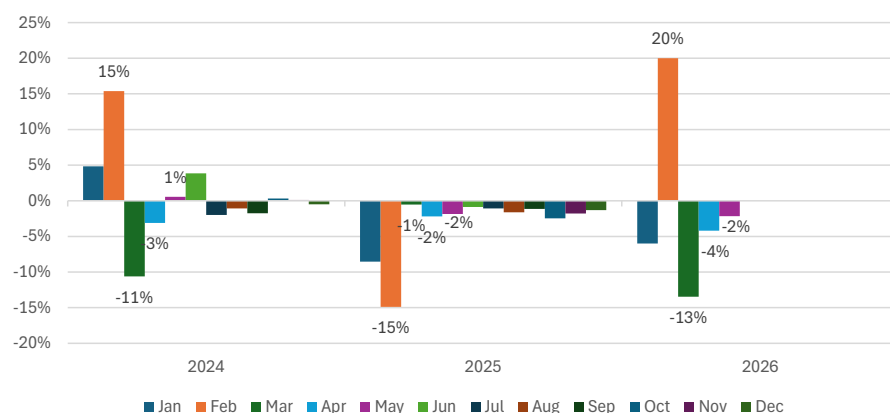


Source: Chemical Market Analytics, Morgan Stanley Research

The aforementioned inventory draw down in China likely limits the probability that downside price risk will materialize, though we note risks remain from (i) recovery of upstream capacities, (ii) demand destruction and (iii) market perception of the direction of crude (and the reopening of the Strait of Hormuz). We address the former two, as we see incremental 2026 downside from these factors (relative to our forecasts) as somewhat limited:

Sooner-than-expected recovery of upstream capacities. Thus far, Gail in India, CSPC in China, Formosa in Taiwan and PT Chandra Asri in Indonesia have restarted PE capacity that was under conflict-related force majeure. These restarts likely represent at least 3.5mn MT of conflict-related outages that have come back to market (~2.2% of global capacity). While we see risk from supply restarts, we note two factors that may draw out associated impact including, (a) upstream inventories purchased pre-conflict were still reportedly being used around the end of April and were expected to wind down as of mid-May. The draw down of upstream inventories leaves open the possibility that further operating rate reductions, constraints and outages remain ahead of us; and (b) earlier comments indicated that logistical issues in energy markets post conflict may take 3-4 quarters to clear up after the Strait of Hormuz reopens. Said another way, the restart of capacities from force majeure may not equate to a prompt resumption of normal operating conditions, as utilization rates may remain low well into 2027 even in the scenario that the conflict resolves quickly.

Demand deferral may be sufficient for China not to resume greater net imports near-term. We do not see this as likely as (a) the net import reduction is well in excess of demand that is likely to be deferred (i.e., would imply up to 23% demand loss) and (b) consultants indicate that the risk within the Chinese economy is to re-exported finished goods, which can be made up for through production of similar goods elsewhere (equating to the same global PE demand and negating any potential effect to utilization rates).

Exhibit 12: Chinese Exports of Packaging and Containers

Source: Bloomberg, Customs General Administration PRC, Morgan Stanley Research

Small Favor – Vote for us in the Extel (fka Institutional Investor) poll! If you find this report helpful, please consider voting for Vincent Andrews as a five-star Chemicals analyst in this year's Extel poll. Please also vote for team members Steven Haynes, Turner Hinrichs and Justin Pellegrino in Chemicals. **If you need a ballot, please let us know. We really appreciate your support.**

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Vincent Andrews.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of May 29, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Air Products and Chemicals Inc., Albemarle Corporation, Avient Corporation, Celanese Corp., CF Industries, Chemours Co, Corteva Inc., DuPont De Nemours Inc., Eastman Chemical Co, Ecolab Inc., FMC Corporation, Huntsman Corp, International Flavors & Fragrances, Intrepid Potash, Linde PLC, LyondellBasell Industries N.V., Mosaic Company, Olin Corp., PPG Industries Inc., RPM International Inc., Sherwin-Williams Co., Tronox Holdings Plc-Class A.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Celanese Corp., Chemours Co, Eastman Chemical Co, Ecolab Inc., LyondellBasell Industries N.V., PPG Industries Inc.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Avient Corporation, Celanese Corp., Chemours Co, Corteva Inc., Eastman Chemical Co, Ecolab Inc., Huntsman Corp, International Flavors & Fragrances, LyondellBasell Industries N.V., PPG Industries Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Air Products and Chemicals Inc., Albemarle Corporation, Ashland Inc., Avient Corporation, Axalta Coating Systems Ltd, Celanese Corp., Chemours Co, Corteva Inc., DuPont De Nemours Inc., Eastman Chemical Co, Ecolab Inc., Huntsman Corp, ICL Group Ltd, International Flavors & Fragrances, Linde PLC, LyondellBasell Industries N.V., Olin Corp., PPG Industries Inc., RPM International Inc., Sherwin-Williams Co., Westlake Corp.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Albemarle Corporation, Ashland Inc., Avient Corporation, Axalta Coating Systems Ltd, Celanese Corp., CF Industries, Chemours Co, Corteva Inc., DuPont De Nemours Inc., Eastman Chemical Co, Ecolab Inc., FMC Corporation, Huntsman Corp, ICL Group Ltd, International Flavors & Fragrances, Linde PLC, LyondellBasell Industries N.V., Mosaic Company, Nutrien Ltd, PPG Industries Inc., Westlake Corp.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Air Products and Chemicals Inc., Albemarle Corporation, Ashland Inc., Avient Corporation, Axalta Coating Systems Ltd, Celanese Corp., Chemours Co, Corteva Inc., DuPont De Nemours Inc., Eastman Chemical Co, Ecolab Inc., Huntsman Corp, ICL Group Ltd, International Flavors & Fragrances, Linde PLC, LyondellBasell Industries N.V., Olin Corp., PPG Industries Inc., RPM International Inc., Sherwin-Williams Co., Westlake Corp.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Albemarle Corporation, Ashland Inc., Avient Corporation, Axalta Coating Systems Ltd, Celanese Corp., CF Industries, Chemours Co, Corteva Inc., DuPont De Nemours Inc., Eastman Chemical Co, Ecolab Inc., FMC Corporation, Huntsman Corp, ICL Group Ltd, International Flavors & Fragrances, Linde PLC, LyondellBasell Industries N.V., Mosaic Company, Nutrien Ltd, PPG Industries Inc., RPM International Inc., Sherwin-Williams Co., Westlake Corp.

Morgan Stanley & Co. LLC makes a market in the securities of Ashland Inc., Avient Corporation, Celanese Corp., Chemours Co, Eastman Chemical Co, Ecolab Inc., Huntsman Corp, International Flavors & Fragrances, RPM International Inc., Tronox Holdings Plc-Class A, Westlake Corp.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing

your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 14-9169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct

Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Chemicals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
Lisa H De Neve		
ICL Group Ltd (ICL.N)	E (01/05/2024)	\$5.50
International Flavors & Fragrances (IFF.N)	O (11/11/2024)	\$74.23
Steven K Haynes, CFA		
Ashland Inc. (ASH.N)	E (09/08/2025)	\$64.87
Vincent Andrews		
Air Products and Chemicals Inc. (APD.N)	E (05/29/2025)	\$276.51
Albemarle Corporation (ALB.N)	E (12/15/2025)	\$147.22
Avient Corporation (AVNT.N)	E (12/14/2020)	\$34.97
Axalta Coating Systems Ltd (AXTA.N)	++	\$32.10
Celanese Corp. (CE.N)	E (01/20/2026)	\$50.38
CF Industries (CF.N)	E (05/25/2016)	\$109.26
Chemours Co (CC.N)	E (01/30/2018)	\$20.31
Corteva Inc. (CTVA.N)	O (12/14/2020)	\$74.46
Dow Inc. (DOW.N)	E (12/01/2019)	\$34.24
DuPont De Nemours Inc. (DD.N)	E (05/26/2021)	\$45.06
Eastman Chemical Co (EMN.N)	O (01/17/2019)	\$71.34
Ecolab Inc. (ECL.N)	O (01/28/2025)	\$256.99
FMC Corporation (FMC.N)	E (10/24/2023)	\$10.80
Huntsman Corp (HUN.N)	E (12/11/2023)	\$14.23
Intrepid Potash (IPI.N)	U (10/03/2013)	\$33.80
Linde PLC (LIN.O)	O (02/09/2020)	\$509.16
LyondellBasell Industries N.V. (LYB.N)	O (12/01/2019)	\$65.15

Mosaic Company (MOS.N)	E (03/16/2016)	\$19.82
Nutrien Ltd (NTR.N)	O (01/14/2026)	\$65.03
Olin Corp. (OLN.N)	U (01/10/2023)	\$23.92
PPG Industries Inc. (PPG.N)	E (11/01/2019)	\$112.97
RPM International Inc. (RPM.N)	E (12/14/2020)	\$104.28
Sherwin-Williams Co. (SHW.N)	O (03/19/2014)	\$303.91
Tronox Holdings Plc-Class A (TROX.N)	E (01/30/2018)	\$7.15
Westlake Corp (WLK.N)	E (01/09/2018)	\$87.12

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

© 2026 Morgan Stanley